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22 April 2016

**Circular to management companies of
SFC-authorized unit trusts and mutual funds**

Formal adoption of revamped fund authorization process

1. The purpose of this circular is to announce that, with effect from 9 May 2016 ("Adoption Date"):
 - a) the enhanced process ("Revamped Process") for applications seeking SFC's authorization of unit trusts and mutual funds will be formally adopted upon expiry of the 6-month pilot period ("Pilot Period"); and
 - b) the Revamped Process will be extended to applications of Mainland funds seeking authorization under the mutual recognition of funds ("MRF") arrangement between the Mainland and Hong Kong ("MRF Applications").
2. Unless otherwise defined, capitalized terms in this circular are as defined in the SFC's circular dated 9 October 2015 entitled ["Circular to management companies of SFC-authorized unit trusts and mutual funds - Launch of pilot revamped fund authorization process" \("Oct 2015 Circular"\)](#).

Background

3. Pursuant to the Oct 2015 Circular, the Revamped Process was implemented on 9 November 2015 for the Pilot Period for processing applications seeking SFC's authorization of unit trusts and mutual funds other than MRF Applications.
4. The Revamped Process was introduced with a view to promoting fund providers' compliance and reducing the overall processing time for new fund applications without compromising investor protection. For details of the Revamped Process, please refer to the Oct 2015 Circular.

Smooth implementation of the Revamped Process during the Pilot Period

5. Since its implementation, the SFC has been closely monitoring the operation of the Revamped Process. In addition to maintaining an ongoing and open dialogue with the applicants, the SFC has, during the Pilot Period, continued to engage various industry participants as well as a technical working group¹ in order to obtain a better understanding of the industry's feedback on the Revamped Process.
6. The Revamped Process has received broad industry support and the overall implementation and experience has been smooth and positive. New fund applications

¹ The technical working group, which comprises representatives from asset management companies, industry associations and legal professionals, was established in June 2015 to ensure that the industry is adequately consulted on the Revamped Process. Please refer to the Oct 2015 Circular for relevant details.



received under the Revamped Process (including both Standard Applications and Non-standard Applications) were processed in accordance with the Revised Performance Pledges. We noted that during the Pilot Period,

- a) the quality of new fund applications has generally improved;
- b) responses from applicants have been more timely; and
- c) overall processing time has been shortened in line with the target processing timeframe².

Formal adoption of the Revamped Process with effect from the Adoption Date

Full Adoption of the Revamped Process

- 7. As the Revamped Process has facilitated an overall enhancement of the authorization process, the SFC has decided to extend the use of the Revamped Process beyond the Pilot Period by formally adopting it as policy with effect from the Adoption Date.

Updated Guide, Updated New Information Checklist and Updated Revamped Process FAQ

- 8. The following documents have been revised and published to provide further guidance and clarification in order to facilitate applicants' preparation for their new fund applications³, taking into account the operational experience of the SFC and comments from the industry as well as the technical working group:
 - a) an updated [New Information Checklist \("Updated New Information Checklist"\)](#);
 - b) an updated [Guide](#); and
 - c) an updated set of [Revamped Process FAQ](#).

Applicability of the Revamped Process for MRF Applications

- 9. The Revamped Process will be extended to MRF Applications received by the SFC on or after the Adoption Date so as to align their processing with other new fund applications. MRF Applications will initially be classified and processed as Non-standard Applications under the Revamped Process until further notice given that the MRF is only at its early stage of implementation.
- 10. In connection with the extension of the Revamped Process to MRF Applications, the following documents have been published to provide further guidance in order to facilitate applicants' preparation for their new MRF Applications:
 - a) a new [Information Checklist for Application for Authorization of Mainland Funds under the Mutual Recognition of Funds Arrangement and the Revamped Process](#)

² As set out in the Oct 2015 Circular, under the Revamped Process, "Standard Applications" will be fast-tracked with an aim that SFC authorization (if granted) will be given on average between 1 to 2 months from the take-up date of the applications. "Non-standard Applications" will be processed under an enhanced process with an aim that SFC authorization (if granted) will be given on average within 2 to 3 months from the take-up date of the applications.

³ Except for MRF Applications, please see paragraphs 9 to 11 of this circular.



[“New MRF Information Checklist”](#)). It has been prepared and posted on the SFC’s website to replace the current version from the Adoption Date.

- b) standardized templates for confirmations on compliance required to be submitted by the applicants at the time of application. They are included in the New MRF Information Checklist.
 - c) the updated Section H of the [Frequently Asked Questions on Mainland-Hong Kong Mutual Recognition of Funds \(“Updated MRF FAQ”\)](#). They have been updated and posted on the SFC’s website to provide further guidance concerning the application procedures for MRF Applications under the Revamped Process.
11. For all new MRF Applications received by the SFC on or after the Adoption Date, the Revamped Process will apply and applicants must, among other requirements, complete the New MRF Information Checklist in support of their applications. For the avoidance of doubt, applicants should continue to use the existing [Application Form for Unit Trusts and Mutual Funds, Investment-Linked Assurance Schemes and Unlisted Structured Investment Products](#) for their new MRF Applications.

New fund applications received before the Adoption Date

12. The Revamped Process will continue to apply to all new fund applications (other than MRF Applications) received by the SFC until the end of the Pilot Period. For all new fund applications³ received by the SFC on or before 6 May 2016, applicants may choose to continue using the existing New Information Checklist. For all new fund applications³ received by the SFC on or after the Adoption Date, the Revamped Process will continue to apply and applicants must, among other requirements, complete the Updated New Information Checklist in support of their applications.
13. Existing MRF Applications that are received by the SFC before the Adoption Date in respect of which no authorization has been granted will be processed by the SFC in accordance with the existing authorization process subject to the existing application lapse policy of 6 months. Applicants who wish to make an MRF Application during the period from the date of this circular but before the Adoption Date should use the existing [Information Checklist for Application for Authorization of Mainland Funds seeking SFC’s Authorization under the Mutual Recognition of Funds Arrangement](#) in support of their applications.

General

14. We will continue to regularly review and seek to improve our authorization process wherever appropriate and practicable. All SFC-authorized funds processed under the Revamped Process will be subject to post-vetting and the SFC will, where appropriate, take necessary regulatory action in cases of non-compliance to ensure investor protection is not compromised.



15. Should you wish to clarify any aspects of this circular and/or in case of doubt, please contact the relevant case officers in charge.

Investment Products Division
Securities and Futures Commission